

Business Financing

- Finance is essential for starting a business, operating, development and expansion of business.
- Two sources – Internal and External
- These sources have been explained in detail.

Shares

- When a big amount of capital is required shares are issued to public.
- Shares are issued at the time of starting a business, expanding or reorganizing the existing one.
- Amount is first decided.
- Value of shares issued to the public should not exceed this predetermined value.
- Two types of shares – Preference shares and Equity Shares
- Nominal value (value when shares are issued) for equity share is Rs. 10 and Rs. 100 for preference share.

1. Preference share

- Share holder gets a fixed rate of dividend
- He gets preference over equity shareholders.
- In a situation of repayment of capital , preference shareholder gets first preference.
- However because dividend rate is fixed, in a situation of high profit they do not have an advantage.
- Preference share holders have limited voting rights.
- This is useful for shareholders who do not want to take any risk.
- Preference shares carry higher amount of risk as compared to debentures.

2. Equity Shares

- This is a form of fractional ownership in a business venture.
- These shareholders get their dividend only after payment of dividend to preference shareholders.
- Payment of dividend depends on the availability of profit.
- If the company earns higher profit, equity shareholders earn higher dividends.
- This is repayable only if the company winds up but only after preference shareholders have been repaid.

Debentures and Bonds

- When company decides to raise the required finance through loan amount, then debentures or bonds are issued.
- Bonds are issued by government and government agencies.
- Debentures are issued by public companies and private companies.
- They carry a promise by the company to make interest payments to the debenture/bond holders of specified amount, at specified time and also to repay the principal amount at the end of a specified period.
- The interest rate of bonds is generally lower than debentures.

- The interest on a bond is paid on monthly, half-yearly or annual basis.
- When the interest is paid at regular intervals, it is called coupons.
- The government agency or corporation which issues the bond signs a legal agreement to repay the loan and interest at a pre determined rate and schedule.
- Interest payment on debentures depends on performance of issuer.
- Bond is a secured investment.
- Debentures are classified into convertible and non – convertible debentures.
- Convertible debentures can be converted into company stocks where as non convertible cannot be.
- Convertible debentures have lower rate of interest.
- If a company is liquidated, bond holders get higher preference while repayment of capital.

Public Deposits

These are unsecured deposits.

Can be invited by companies for 6 months to 3 years.

These are primarily short term finances.

They are a major source of finance to meet the working capital needs.

The rate offered to the depositor is higher than what a bank offers.

There are fewer rules regarding public deposits because of which it is easier.

Loans from Banks

- Flexible source of finance which provides funds for short term and long term needs.
- It is available for a definite period.
- Banks do not interfere in the internal affairs of the company unlike shareholders.
- Interest rate is low in small scale sector located in rural areas.
- Bank requires a guarantee against loan.

Bank overdraft

- Short term credit facility provided by banks for its current account holders.
- Allows businesses to withdraw more money than their bank account balances hold.
- Interest has to be paid on the amount withdrawn.

Trade Credit

- This is a source for short term financing.
- Credit is extended from one trader to another for purchase of goods and services.
- It facilitates the purchase of supplies without immediate payment.
- The volume and period of credit depends on factors like reputation of purchasing firm, financial position of the seller, volume of purchases, past record of payment and degree of competition in the market.
- Terms of credit may also differ from one firm to another

Bills Purchased and Bill Discounting

- Commercial banks provide short term credit on bills emerging out of commercial transactions.
- In a credit sale, the seller draws a bill on the buyer who in turn accepts it and promises to pay the amount mentioned in the bill on a specific date.
- If the seller wants to get a payment before the maturity date, he can get it discounted by the bank.
- The bank charges a nominal charge for discounting and pays the remaining amount.

Retained earnings

- The portion of profits which are not distributed among shareholders is called retained earning.
- These funds are reinvested.
- Permanent source of funds though it depends on the quantity of profits.